

Spotify after the soft guide

SPOT · EUR · series 2026-09-13T15:32:00Z · built 2026-09-14 17:29 UTC

THE SHORT VERSION

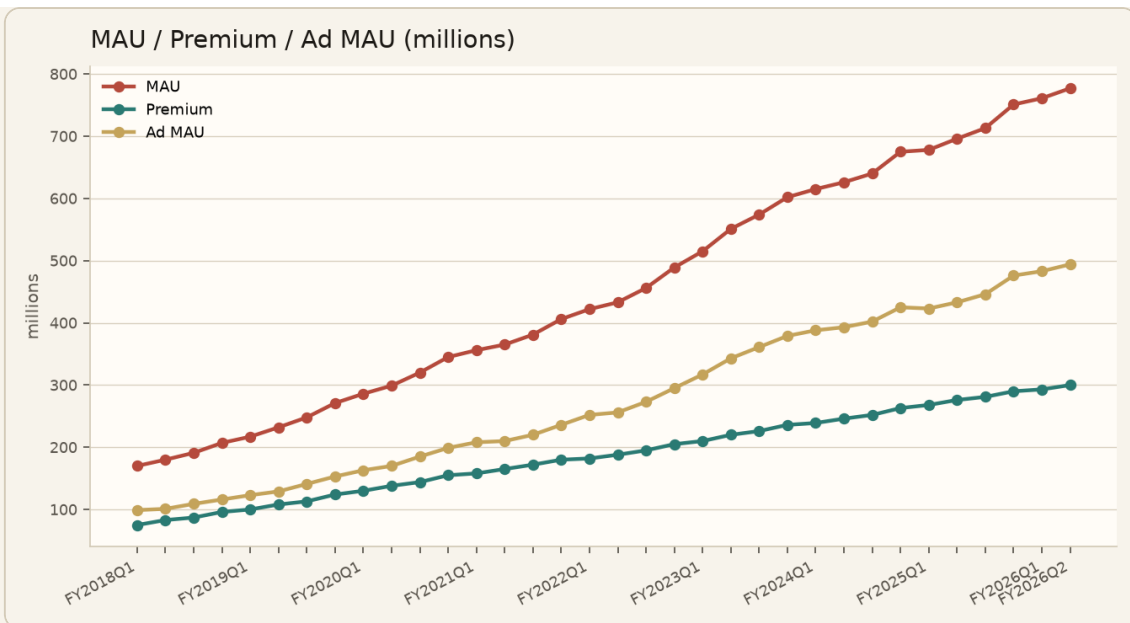
Q3 is guided *below* the trailing run-rate. That is not a miss they buried in a footnote. It is a soft patch they put on the calendar.

Premium printed ahead of guide. Gross margin beat. MAU came in a million light. The long case on Spotify does not hinge on whether one quarter's MAU adds match the prior run-rate. It hinges on whether MAU and engagement actually roll over while management optimizes the ad tier — Latent's primary falsifier, stress-tested on purpose.

What the print actually said

Second-quarter 2026 was a clean print with one soft edge.

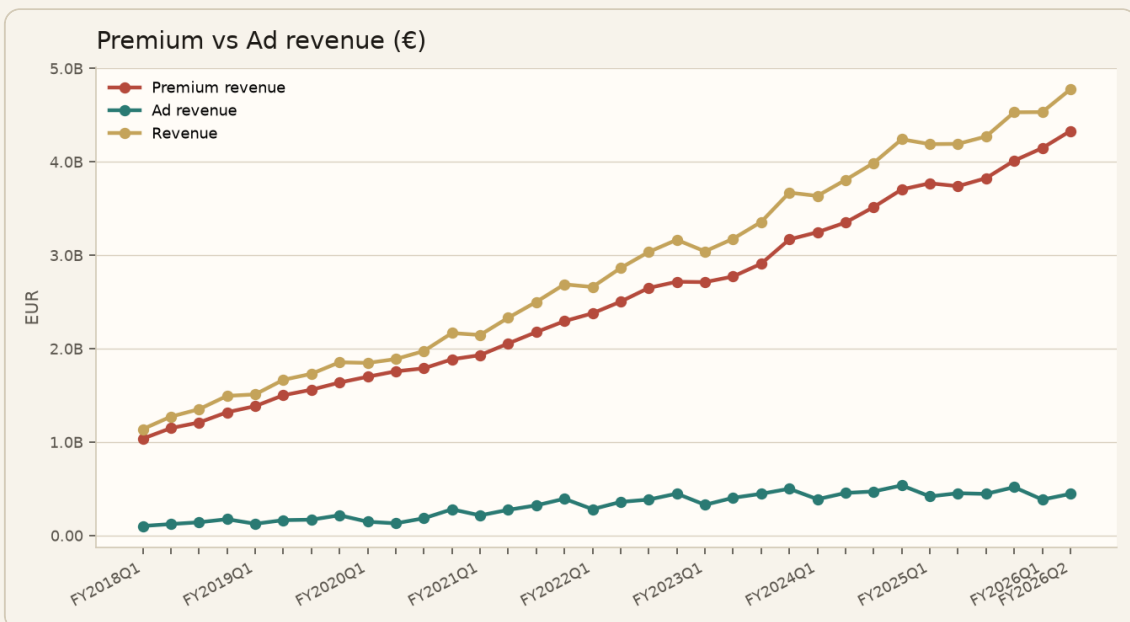
MAU 777 million (+16M QoQ, +11.64% YoY). Premium 300 million (+7M, +8.70% YoY). Ad-supported MAU 494 million (+11M, +14.09% YoY). Overlapping cohorts, not additive.



777 million monthly users, 300 million of them paying. The Premium and Ad lines are overlapping cohorts — never summed into MAU.

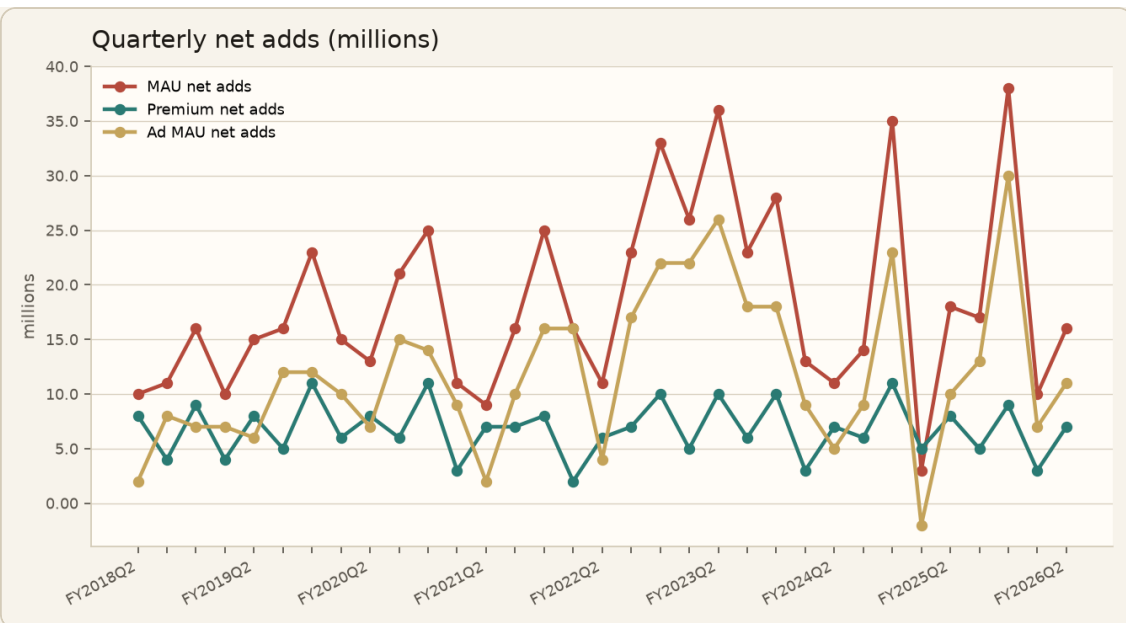
Premium + Ad MAU are overlapping cohorts — not additive to MAU.

Revenue €4,777 million (+14% / +15% FXN). Premium ARPU €4.89. GM 33.4%. OI €655 million vs €630 million guide. FCF €797 million; TTM FCF €3.3 billion (deck).



Premium subscriptions pay the bills — €4.3B of a €4.8B quarter. Ads are €446M of it.

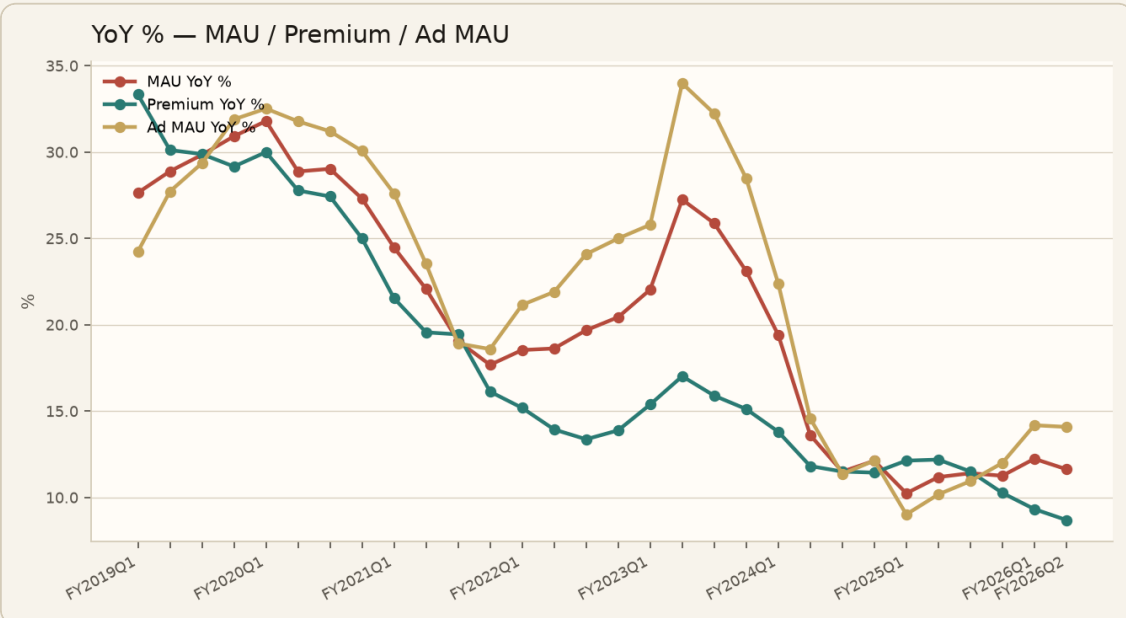
Vs guide: MAU adds 1M light; Premium 1M ahead; GM ~+30 bps.



Net adds are seasonal — Q4 spikes, Q1 dips. Q2'26 added 16M MAU (1M under forecast); Premium's 7M landed 1M ahead of guide.

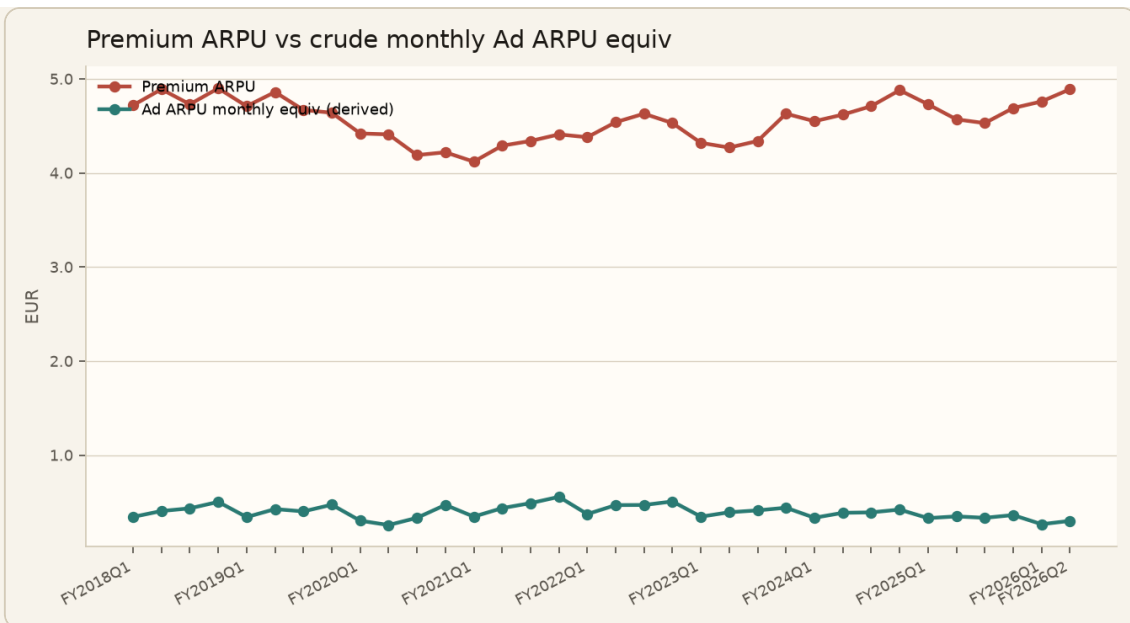
Growth shape — a band, not a break

MAU YoY ~11–12% for eight quarters. Premium YoY ~12% H1'25 → ~9% H1'26.



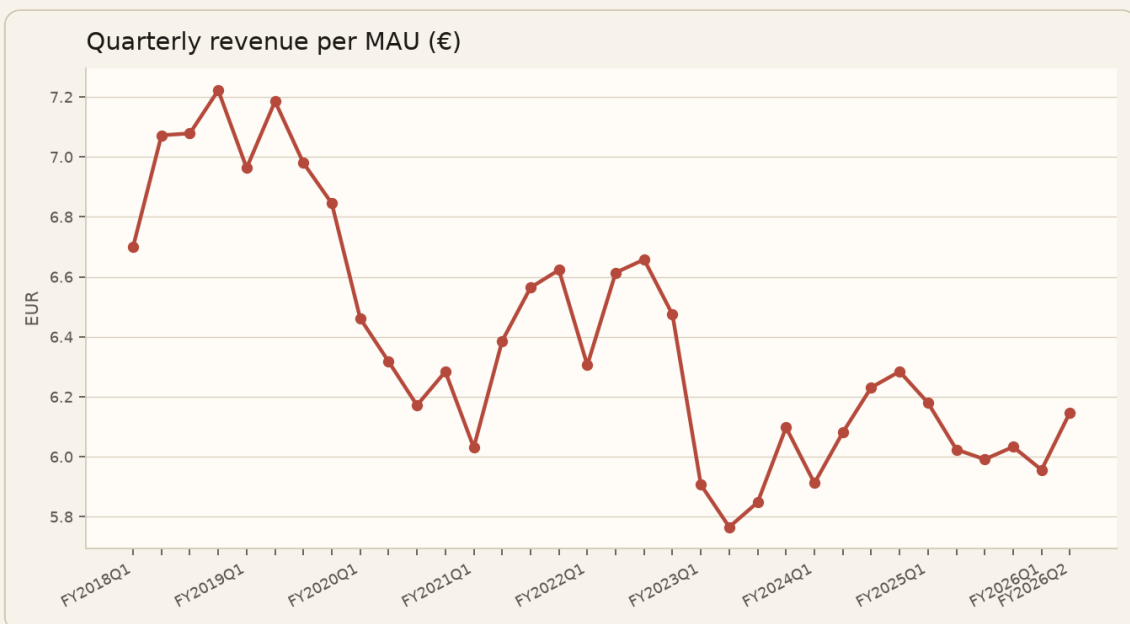
MAU growth has held an 11–12% band for eight quarters while Premium growth cooled from ~12% to ~9%.

Premium revenue ~16% FXN from ~9% subs + ~7.4% ARPU FXN.



Premium ARPU of €4.89 does the heavy lifting. The ad line is a crude monthly equivalent, not a filing ARPU.

Ad series method=(ad_rev/(ad_mau*1e6))/3; not filing ARPU.



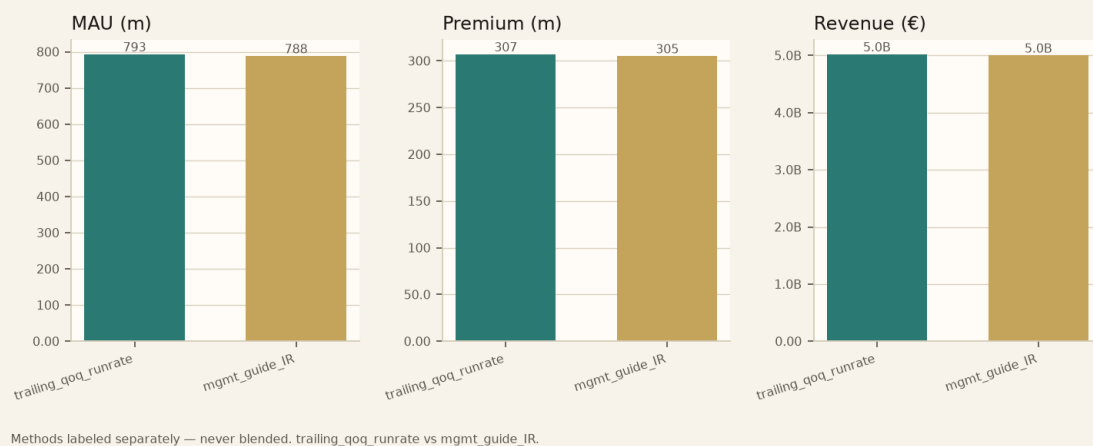
Revenue per monthly user, derived from the file — about €6.15 for Q2'26.

Ad MAU still outgrowing Premium.

The turn — guide under run-rate, on purpose

Run-rate: MAU 793 / Prem 307. Guide: MAU 788 / Prem 305 / Rev €5.0B / GM 32.9% / OI €670M. Never blend.

Q3'26 — run-rate vs mgmt guide



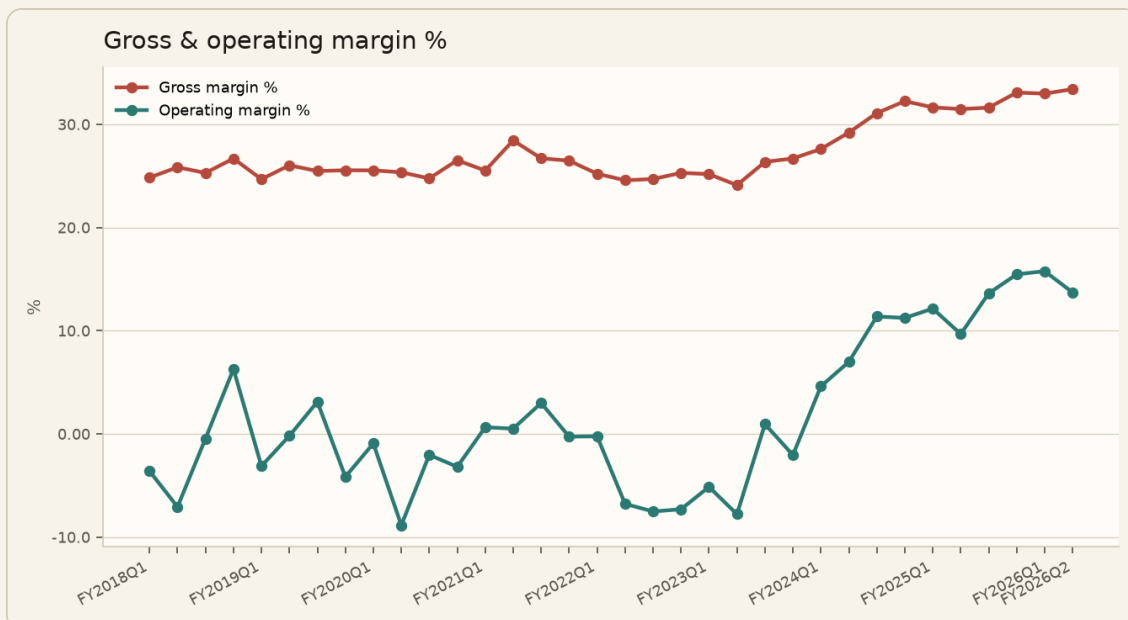
Two ways to read Q3 — mechanical run-rate versus management's guide — side by side, never blended.

Two methods, never blended: trailing_qoq_runrate vs mgmt_guide_IR.

Co-CEO: intentional EM ad-load / product optimization will show in Q3 MAU; not at expense of subscriber growth.

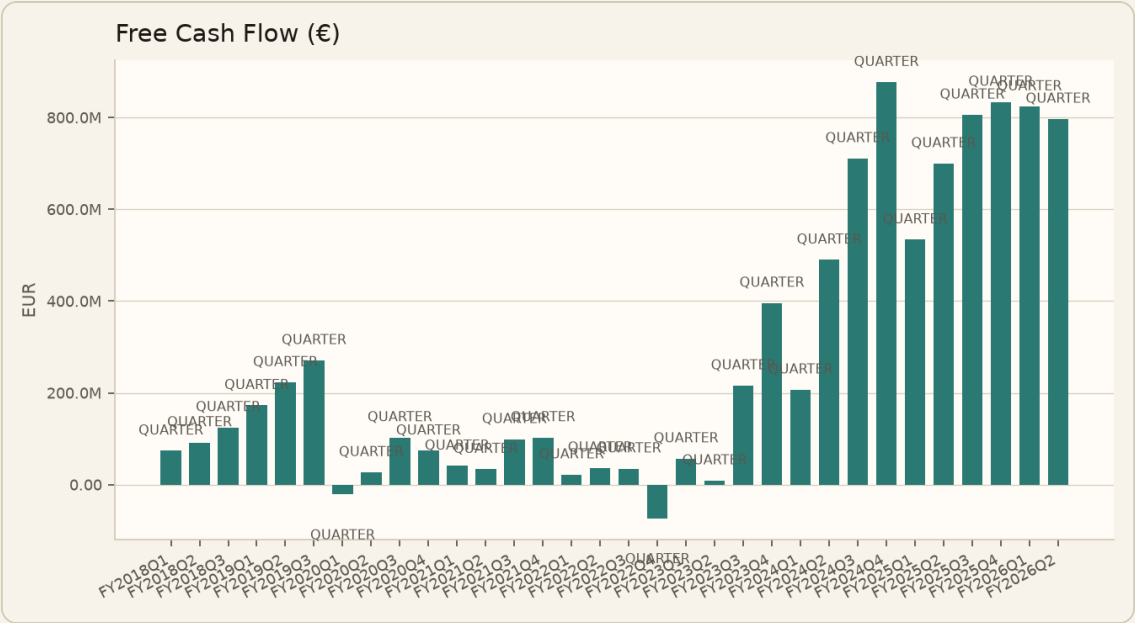
Margins managed — horizon, not proof

Q3 GM 32.9% guided (reinvestment + seasonal fee). ~€200M incremental FY26 opex.



Record 33.4% gross margin. The Q3 guide of 32.9% is reinvestment plus a seasonal fee — a pause, not a break.

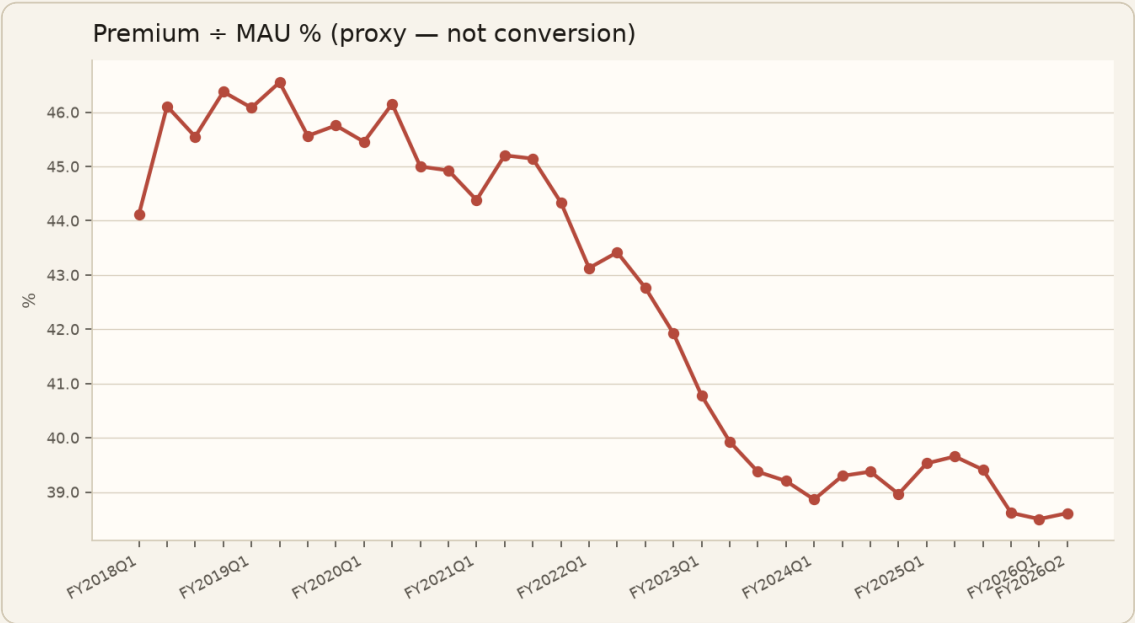
FY GM/OM “expected to improve” — no FY numeric. Investor Day 2030 is wallpaper only (mid-teens CAGR, GM 35–40%, OM >20%).



Free cash flow as tagged in the file — quarter, YTD and annual windows plotted as given, never plugged.

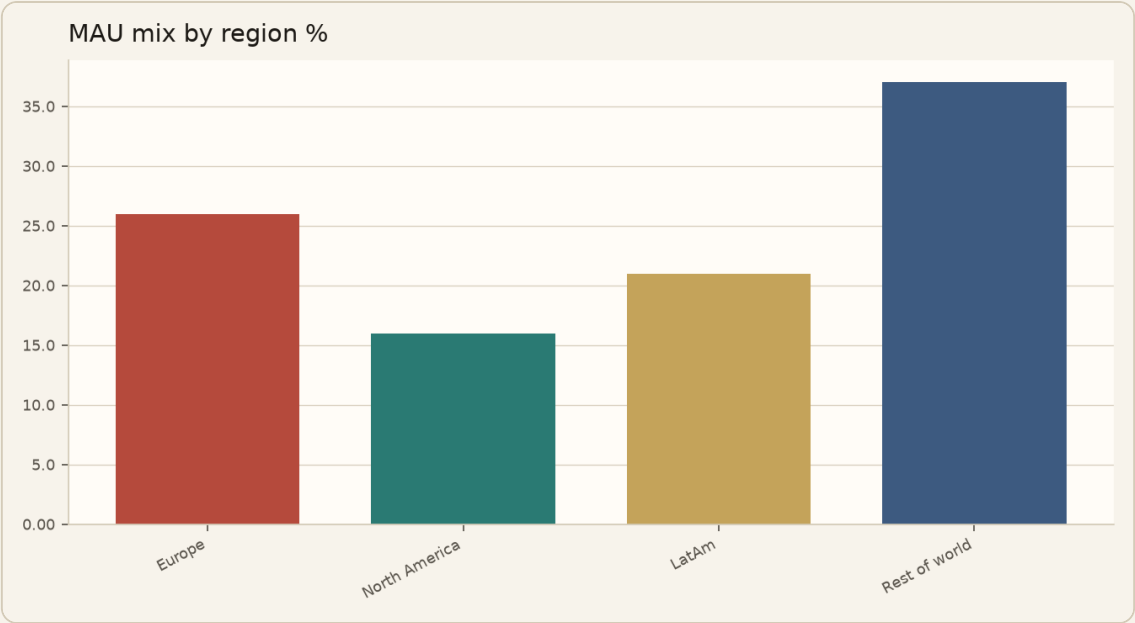
What we cannot see

Conversion undisclosed. Premium/MAU ~38.6% is a stock proxy, not conversion. Churn discontinued.



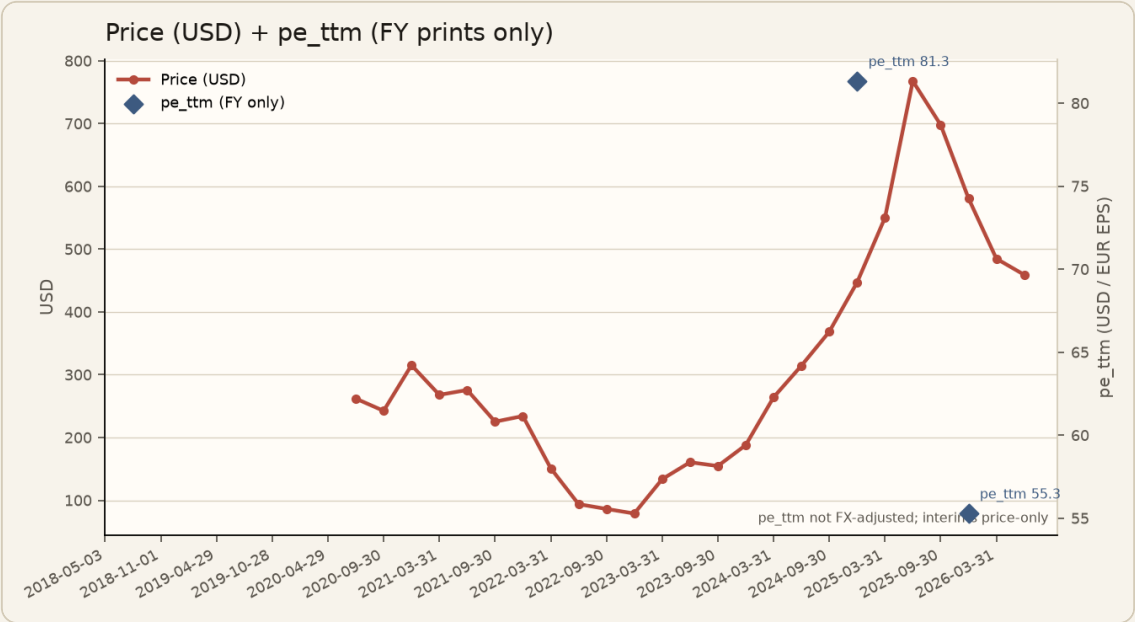
Premium as a share of MAU, ~38.6% — a stock ratio, a proxy, not conversion. The true free→paid rate is undisclosed.
NOT a conversion rate. True Ad→Premium conversion is undisclosed.

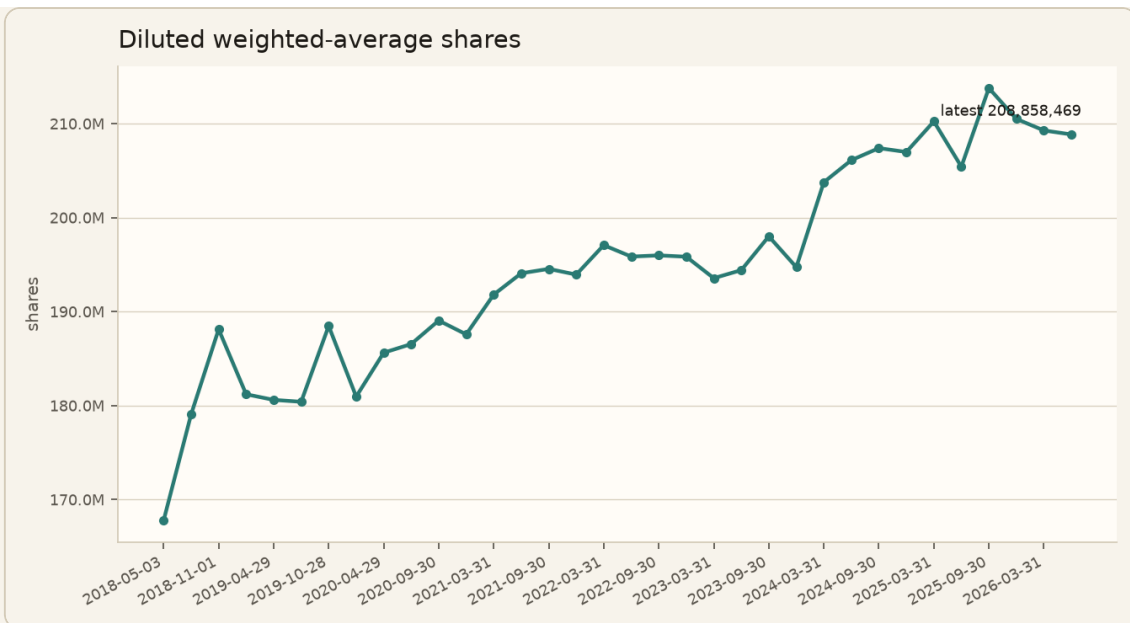
Geo annual only (RoW 12%→37%). Podcast/audiobook hours+share null.



Rest of World went from 12% to 37% of users in seven years — annual 20-F mix only; there is no quarterly geo.

pe_ttm FY only ~81.33 / ~55.28 (USD close over EUR earnings, not FX-adj).





Diluted weighted-average shares: 208,858,469 at the 2026-06-30 print — kept as a footnote, not a signal.

Refuse: invented conversion; additive MAU; blended guide/run-rate; format hours; FY margin number they didn't give; interim/FX PE; 2030 as near-term proof.

METHOD & DEFINITIONAL NOTES

- Premium MAU + Ad-Supported MAU are overlapping period cohorts — not additive to total MAU.
- `pe_ttm` is FY prints only; interims are price-only. This builder does not invent interim TTM PE.
- IR decks/remarks are narrative and guide only (`kpi_extract=false`). Guide is not written into historical SoT.
- Q4 residuals already present in `series.json` are respected; the builder does not synthesize residuals from annual minus YTD.
- `premium_over_mau_pct` is a stock proxy — not a conversion rate.
- `ad_arpu_monthly_equiv_eur` is mechanical ($\text{ad_rev} / (\text{ad_mau} * 1e6) / 3$) — not a filing ARPU.
- Premium+Ad MAU overlapping cohorts — NOT additive to total MAU
- Q4 residuals: $\text{ARPU} = 4 \times \text{FY avg} - \text{Q1} - \text{Q3}$; $\text{OI} = \text{FY} - \text{Q1} - \text{Q3}$; $\text{Premium/Ad rev} = \text{FY} - \text{Q1} - \text{Q3}$; $\text{OM} = \text{OI} / \text{rev}$
- FY2021/FY2023 Premium from analytics/pack fixed 8460m / 11566m
- `pe_ttm` only 2 FY prints; USD/EUR not FX-adjusted; interims price-only
- Diluted shares 34 periods; latest 208858469 at 2026-06-30
- `kpi_extract` false on IR decks — narrative/guide only
- 68 period parse-warnings in the file (16 Q4/residual-related). Residuals already on `series.json` are respected; this builder does not recompute them. Examples: `q4_users_from_20f_ye`; `financials_may_be_residualized`; `q4_revenue_residual_fy_minus_q1q2q3`; `q4_cost_of_revenue_eur_residual_fy_minus_q1q2q3`; `q4_gross_profit_eur_residual_fy_minus_q1q2q3`.
- Non-additive: Premium MAU and Ad-Supported MAU are overlapping bases; they are not additive to MAU.

Next steps

What the desk does next — the short list from the gaps file, not every known hole.

1. P0: File/ingest Q3'26 6-K FS; score vs guide (MAU 788 / Prem 305 / Rev €5.0B / GM 32.9% / OI €670M) (Analytics + Desk)
2. P0: Confirm conversion metric availability with IR (IR)
3. P1: Backfill geo annual CSV; map valuation period_ends to quarter-ends (Analytics)
4. P1: Optional: Audiobooks+ ARR / format hours if disclosed with units (IR / Analytics)
5. P2: FX policy decision for pe_ttm labeling (document rate source or keep unadjusted) (Desk)
6. P2: Pull May Investor Day materials onto 1-raw/ir/SPOT/ for 2030 target cites (IR fetch)

Self-contained file: every chart is an embedded PNG — no canvas library, no CDN, no network needed. Historicals come from the desk series file (filings extract); guidance and product color come from Q2'26 IR materials, which are narrative only (kpi_extract=false) and never overwrite the extract.

FCF rule: Honor quarter | ytd | annual tags. Never invent a Q4 residual from annual minus intra-year prints.